DUAL MOMENTUM SECTOR ROTATION

Moskowitz and Grinblatt (1999) postulated that industry components are the primary source of stock momentum profits and that momentum strategies provide compensation for industry risk. They constructed an industry-based momentum strategy that produced the same average monthly returns as an individual stock momentum strategy. Momentum based on industries, or sectors of closely related industries, is much easier to implement than individual stock momentum, and transaction costs are considerably lower.

My favorite dual momentum strategy is one that rotates among the strongest U.S. stock market equity sectors. The Morningstar sectors separate the U.S. stock market into 11 nonoverlapping segments. These cover technology, industrials, energy, communication services, real estate, financial services, consumer cyclical, basic materials, utilities, consumer defensive, and healthcare.

We can select an equally weighted basket of the top-performing sectors using relative strength momentum in what I call my Dual Momentum Sector Rotation (DMSR) model. When the U.S. stock market is in a downtrend, according to absolute momentum, DMSR moves all of its assets into the Barclays Capital U.S. Aggregate Bond Index. Table 9.5 and Figure 9.3 show how DMSR has performed in comparison to the S&P 500, a portfolio of monthly rebalanced equally weighted equity sectors, and 77% equally weighted sectors plus 23% U.S. aggregate bonds. We include the last benchmark because DMSR has overall spent 77% of its time in equities and 23% in U.S. aggregate bonds. Data is from January 1992, which is the starting date of the Morningstar U.S equity sectors. Monthly rebalancing of sectors captures some mean reversion profit for all the portfolios other than the S&P 500.[10]

Table 9.5 Dual Momentum Sector Rotation Versus Benchmarks, 1993–2013